

QUESTION 1

(a)

- Financial accounting
- Management accounting
- Cost accounting
- Auditing
- Public sector accounting
- Taxation

(b) (i) Sole Proprietorship

(ii) Partnership

(iii)

Characteristic	Partnership
Number of owners	2 – 20 partners
Capital contribution	Partners
Liabilities	Unlimited
Life of the organisation	Limited life. (Terminates at a partner's choice or death)
Control and administration	Active partners participate in a business
Formation	Easier to build than a company
Taxation	Individual income tax. (Partnership is not taxed. Instead partners pay tax on their share of the earnings)
Profit/Loss	Distributed according to Partnership Agreement/Deed

** Any of the two characteristics above*

(iv) Business and business owners are two different entities.

(c)

ASSETS				=	LIABILITIES	+ OWNER'S EQUITY	
Date	Cash	Supplies	Accounts Receivable		Accounts Payable	Capital	Revenues (Expenses)
August 1	10,000					10,000	
2		1,150			1,150		
4	4,500						4,500
10	(675)				(675)		
15			3,250				3,250
18	(680)						(680)
25		(935)					(935)
27	(1,000)					(1,000)	
29	(2,500)						(2,500)
Balance	9,645	215	3,250		475	9,000	3,635
Total	RM13,110			=	RM13,110		

QUESTION 2

- Expense Recognition
- Historical Cost
- Monetary Measurement
- Accounting-Period
- Consistency

QUESTION 3

Date	Journal
July 2	Cash receipt journal
3	Cash payment journal
4	Purchase journal
5	General journal
7	Sales journal
9	Cash payment journal
11	Cash receipt journal
12	General journal
14	Cash payment journal
16	Cash receipt journal
18	Purchase journal
20	Cash payment journal
23	Sales journal
26	Cash payment journal
28	Purchase journal
29	Cash payment journal

QUESTION 4

1. Prepaid expense
2. Accrued revenue
3. Unearned revenue
4. Accrued expense
5. Bad debts expense
6. Depreciation expense

SECTION B

QUESTION 1

(a)

Bad Debts Expense			
Allowance for Doubtful Debts	37,637.50	Close to Statement of Comprehensive Income	37,637.50

Accounts Receivable			
Balance b/d	775,000	Allowance for Doubtful Debts	17,500
Sales (6,000,000 x 17%)	1,020,000	Cash / Bank	650,000
		Balance c/d	1,127,500
	<u>1,795,000</u>		<u>1,795,000</u>

Allowance for Doubtful Debts			
Accounts Receivable	17,500	Balance b/d	8,050
Balance c/d (1,127,500 x 2.5%)	28,187.50	Bad Debts Expense	37,637.50
	<u>45,687.50</u>		<u>45,687.50</u>

(b)

General Journal			
Date	Accounts and Explanation	Debit (RM)	Credit (RM)
(i) 2011 Apr 1	Depreciation Expense – Equipment (12,000 x 3/12) Accumulated Depreciation – Equipment (To record depreciation to date of disposal)	3,000	3,000
(ii) 2011 Apr 1	Equipment (new) Loss on Disposal* Accumulated Depreciation – Equipment (96,000 + 3,000) Cash / Bank (285,000 – 70,000) Equipment (old) (To record exchange of old equipment for new equipment)	285,000 14,500 99,000	215,000 183,500

* Gain/Loss = Trade-in Allowance - (Cost – Accumulated Depreciation)
= RM70,000 - (RM183,500 – RM99,000)
= (RM14,500) → Loss

QUESTION 2

(a)

	Date	Accounts and Explanation	Debit (RM)	Credit (RM)
(i)	2010 Jan 1	Bank Bonds Payable, 8% (to record sales of bonds at face value)	300,000	300,000
(ii)	July 1	Interest Expense Bank (300,000 x 8% x 6/12) (to record payment of bond interest)	12,000	12,000
(iii)	Dec 31	Interest Expense (300,000 x 8% x 6/12) Interest Payable (to accrue bond interest)	12,000	12,000

(iv)

Elite Sdn Bhd
Statement of Financial Position (Excerpt)
As at 31 December 2010

<u>Non-Current Liabilities</u>	
Bonds Payable, 8%	300,000
<u>Current Liabilities</u>	
Interest Payable	12,000

(b)

(i) Capital on 1 July 2010:		
Total Current Assets	RM200,000	
Total Non-Current Assets	370,000	570,000
(-) Total Liabilities		(105,000)
		<u>465,000</u>
(ii) Ending Capital	RM268,000	
(+) Drawings	102,000	
(-) Beginning Capital	(465,000)	
Net Loss	<u>(95,000)</u>	

(iii)	RM	RM	RM
<u>ASSETS</u>			
Cash		89,000	
Accounts Receivable		45,000	
Prepaid Insurance		17,500	
Vehicles	185,000		
(-) Accumulated Depreciation	<u>(23,000)</u>	162,000	
Building	100,000		
(-) Accumulated Depreciation	<u>(17,000)</u>	<u>83,000</u>	
TOTAL ASSETS			<u>396,500</u>
<u>OWNER'S EQUITY</u>			
Beginning Capital		465,000	
(-) Net Loss		(95,000)	
(-) Drawings		<u>(102,000)</u>	
Ending Capital			268,000
<u>NON-CURRENT LIABILITIES</u>			*78,000
<u>CURRENT LIABILITIES</u>			
Accounts Payable		38,000	
Unearned Revenue		<u>12,500</u>	50,500
TOTAL OWNER'S EQUITY AND LIABILITIES			<u>396,500</u>

* Non-Current Liabilities = RM396,500 – RM50,500 – RM268,000
= RM78,000